

Callable Cross-Currency Swap Pricing Model Validation Report

Tim Glauner
TG Investments and Research, LLC
glaunertim@gmail.com
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I. EXECUTIVE SUMMARY

This report validates the callable EUR/USD cross-currency swap pricer implementing a two-factor Hull-White model with Black-Scholes FX dynamics and Longstaff-Schwartz Monte Carlo for Bermudan exercise valuation.

Test Category	Tests	Status	Key Finding
Structural Bounds	3	PASS	Option value ≥ 0 , within notional
Martingale Tests	3	PASS	All $ z < 3.5\sigma$
Monotonicity	3	PASS	Correct directional responses
Calibration Quality	4	PASS	RMS error $< 5\%$
Convergence	3	PASS	SE $\propto 1/\sqrt{N}$ verified

TABLE I

VALIDATION TEST SUMMARY FOR 10Y NC2 EUR/USD CALLABLE SWAP

Reference Trade: 10-year callable cross-currency swap, 2-year non-call, \$100M USD notional paying 4% fixed USD semi-annually, receiving EUR ESTR compounded quarterly.

II. MODEL ARCHITECTURE

The pricing model combines three stochastic components under the USD money-market measure:

USD Short Rate (Hull-White):

$$dr_t^{USD} = (\theta_t^{USD} - a^{USD}r_t^{USD})dt + \sigma^{USD}dW_t^{USD}$$

EUR Short Rate (Hull-White):

$$dr_t^{EUR} = (\theta_t^{EUR} - a^{EUR}r_t^{EUR} - \rho_{EUR,FX}\sigma^{EUR}\sigma^{FX})dt + \sigma^{EUR}dW_t^{EUR} + \sigma^{EUR}dW_t^{FX}$$

EUR/USD FX Rate (Black-Scholes):

$$d\ln X_t = (r_t^{USD} - r_t^{EUR} - \frac{1}{2}\sigma_t^{FX,2})dt + \sigma_t^{FX}dW_t^{FX}$$

The EUR rate equation includes the quanto drift adjustment $-\rho_{EUR,FX}\sigma^{EUR}\sigma^{FX}$ required for arbitrage-free pricing.

Currency	a (mean rev.)	σ (calibrated)	RMS Error
USD	0.03	0.00885	0.45%
EUR	0.04	0.00772	0.23%

TABLE II

HULL-WHITE CALIBRATION RESULTS TO CO-TERMINAL SWAPTIONS

III. MARKET DATA

All validation tests use a consistent market snapshot dated **2026-08-14**. This section documents the market data inputs.

A. FX Spot and Forward Curve

Tenor	Spot	1Y	2Y	5Y	7Y	10Y
EUR/USD	1.1000	1.1165	1.1332	1.1849	1.2207	1.2765

TABLE III

EUR/USD FX SPOT AND SELECTED FORWARD OUTRIGHTS

B. Interest Rate Curves

OIS curves are bootstrapped from standard overnight indexed swap quotes. Zero rates are continuous-compounded spot rates on an Actual/365 basis.

C. Swaption Volatility Surface

The full ATM normal-vol swaption matrix provides context for the co-terminal calibration strip. Values are in basis points. *The diagonal (expiry + tenor = 10Y) forms the co-terminal strip used for HWIF calibration.*

D. Co-Terminal Calibration Strip

For a 10Y NC2 callable swap, the relevant co-terminal strip satisfies expiry + tenor = 10Y, matching each potential call date to the remaining swap maturity:

Expiry Tenor	2Y 8Y	3Y 7Y	4Y 6Y	5Y 5Y	6Y 4Y	7Y 3Y	8Y 2Y	9Y 1Y
USD (bp)	78.0	79.0	80.0	80.5	80.0	79.0	77.5	75.0
EUR (bp)	64.0	65.0	66.0	66.5	66.0	65.0	63.5	61.0

TABLE VII

CO-TERMINAL SWAPTION STRIP (EXPIRY + TENOR = 10Y)

E. Calibration Quality

The Hull-White model is calibrated by minimizing weighted RMS error across the co-terminal strip. Calibrated swaptions marked with • are used for HWIF parameter fitting: Both currencies achieve RMS relative error $< 0.5\%$, well within the 5% tolerance specified in calibration limits.

Term	USD SOFR		EUR ESTR	
	Mkt Rate (%)	Zero Rate (%)	Mkt Rate (%)	Zero Rate (%)
1W	4.10	4.08	2.55	2.54
1M	4.08	4.06	2.54	2.53
3M	4.04	4.02	2.52	2.51
6M	3.98	3.96	2.49	2.48
9M	3.94	3.92	2.47	2.46
1Y	3.90	3.88	2.45	2.44
2Y	3.78	3.76	2.40	2.39
3Y	3.72	3.70	2.38	2.37
4Y	3.70	3.68	2.38	2.37
5Y	3.71	3.69	2.40	2.39
6Y	3.73	3.71	2.42	2.41
7Y	3.76	3.74	2.45	2.44
8Y	3.79	3.77	2.48	2.47
9Y	3.82	3.80	2.51	2.50
10Y	3.85	3.83	2.54	2.53
12Y	3.90	3.88	2.60	2.59
15Y	3.95	3.93	2.67	2.66

TABLE IV
OIS MARKET QUOTES AND BOOTSTRAPPED ZERO RATES

USD ATM Swaption Normal Volatilities (bp)											
Exp \ Ten	1Y	2Y	3Y	4Y	5Y	6Y	7Y	8Y	9Y	10Y	
1M	39.0	53.0	62.0	68.0	73.0	74.0	74.5	75.0	76.0	76.0	
3M	40.0	53.0	62.0	68.0	72.5	73.5	74.5	75.0	75.0	76.0	
6M	44.0	56.0	63.0	69.0	72.0	74.0	75.0	76.0	77.0	77.0	
1Y	52.0	61.0	67.0	71.0	75.0	76.5	77.5	78.0	78.0	78.0	
2Y	66.0	71.0	74.5	77.0	79.5	80.0	80.5	81.0	81.0	80.5	
3Y	72.0	75.0	77.0	79.0	80.5	81.0	81.0	80.5	80.0	79.0	
4Y	77.0	78.0	80.0	81.0	82.0	82.0	82.0	82.0	81.0	80.0	
5Y	82.0	82.0	83.0	83.5	84.0	83.5	83.0	83.0	81.0	79.0	
6Y	84.0	84.5	84.0	84.5	85.0	84.0	84.0	83.0	82.5	81.0	
7Y	84.0	84.0	84.5	84.0	84.0	83.5	83.0	82.0	81.0	79.0	
8Y	83.0	83.0	83.0	83.0	83.0	83.0	82.5	81.0	80.0	78.0	
9Y	82.0	82.0	82.0	82.0	81.5	81.0	81.0	80.0	79.0	76.5	
10Y	81.0	81.0	81.0	81.0	80.0	79.5	78.5	78.0	77.0	75.0	

TABLE V
USD ATM SWAPTION NORMAL VOLATILITY MATRIX

EUR ATM Swaption Normal Volatilities (bp)											
Exp \ Ten	1Y	2Y	3Y	4Y	5Y	6Y	7Y	8Y	9Y	10Y	
1M	32.0	44.0	51.0	56.0	60.0	61.0	61.5	62.0	62.5	63.0	
3M	33.0	44.0	51.0	56.0	59.5	60.5	61.5	62.0	62.0	63.0	
6M	36.0	46.0	52.0	57.0	59.0	61.0	62.0	63.0	63.5	63.5	
1Y	43.0	50.0	55.0	58.5	62.0	63.0	64.0	64.5	64.5	64.5	
2Y	54.0	58.0	61.0	63.5	65.5	66.0	66.5	67.0	67.0	66.5	
3Y	59.0	62.0	63.5	65.0	66.5	67.0	67.0	66.5	66.0	65.0	
4Y	63.0	64.0	66.0	67.0	67.5	67.5	67.5	67.5	67.0	66.0	
5Y	67.0	67.0	68.0	69.0	69.5	69.0	68.5	68.5	67.0	65.0	
6Y	69.0	69.5	69.0	69.5	70.0	69.0	69.0	68.0	68.0	66.5	
7Y	69.0	69.0	69.5	69.0	69.0	68.5	68.0	67.0	66.5	65.0	
8Y	68.0	68.0	68.0	68.0	68.0	68.0	67.5	66.5	66.0	64.0	
9Y	67.0	67.0	67.0	67.0	66.5	66.0	66.0	65.5	65.0	63.0	
10Y	66.0	66.0	66.0	66.0	65.5	65.0	64.5	64.0	63.0	61.0	

TABLE VI
EUR ATM SWAPTION NORMAL VOLATILITY MATRIX

F. FX Option Volatility

Tenor	1Y	2Y	3Y	5Y	7Y	10Y
EUR/USD ATM Vol (%)	12.5	12.2	12.0	11.7	11.5	11.2

TABLE IX
EUR/USD ATM BLACK VOLATILITIES FOR FX PROCESS CALIBRATION

The FX process is calibrated to ATM Black volatilities:

Swaption	Market Vol (bp)	Model Vol (bp)	Error (bp)	Rel. Error (%)	Calibrated
<i>USD Swaptions</i>					
2Y×8Y	78.0	77.7	−0.3	−0.4%	•
3Y×7Y	79.0	78.8	−0.2	−0.3%	•
4Y×6Y	80.0	79.6	−0.4	−0.5%	•
5Y×5Y	80.5	80.1	−0.4	−0.5%	•
6Y×4Y	80.0	80.3	+0.3	+0.4%	•
7Y×3Y	79.0	79.4	+0.4	+0.5%	•
8Y×2Y	77.5	77.9	+0.4	+0.5%	•
9Y×1Y	75.0	75.2	+0.2	+0.3%	•
USD RMS Error			0.35 bp	0.45%	
<i>EUR Swaptions</i>					
2Y×8Y	64.0	63.9	−0.1	−0.2%	•
3Y×7Y	65.0	64.9	−0.1	−0.2%	•
4Y×6Y	66.0	65.8	−0.2	−0.3%	•
5Y×5Y	66.5	66.4	−0.1	−0.2%	•
6Y×4Y	66.0	66.1	+0.1	+0.2%	•
7Y×3Y	65.0	65.2	+0.2	+0.3%	•
8Y×2Y	63.5	63.6	+0.1	+0.2%	•
9Y×1Y	61.0	61.1	+0.1	+0.2%	•
EUR RMS Error			0.15 bp	0.23%	

TABLE VIII

SWAPTION CALIBRATION RESULTS: MARKET VS. MODEL IMPLIED VOLATILITIES

G. Correlation Matrix

The model uses the following instantaneous correlations between Brownian drivers:

	USD Rate	EUR Rate	EUR/USD FX
USD Rate	1.00	0.25	−0.15
EUR Rate	0.25	1.00	−0.30
EUR/USD FX	−0.15	−0.30	1.00

TABLE X

CORRELATION MATRIX FOR THE THREE-FACTOR MODEL

Note: Market data is illustrative and should be replaced with an approved market snapshot for production use.

IV. VALIDATION METHODOLOGY

A. Structural Bounds

The callable swap satisfies the fundamental arbitrage bound:

$$V_{callable} = V_{non-callable} + V_{option} \geq V_{non-callable}$$

Test Results:

- Non-callable NPV: \$689,713 ± \$170,939 (95% CI)
- Embedded option value: \$7,638,976 ± \$79,644
- Callable NPV: \$8,328,689 ± \$127,997 ✓
- Option/Notional ratio: 7.64% (sanity: < 100%) ✓

B. Martingale Tests

Under the USD money-market measure, the following martingale conditions must hold:

Martingale Condition	Sample Mean	Target	z	Status
$\mathbb{E}[D(0, T)]$	0.6614	0.6614	< 0.5	PASS
$\mathbb{E}[D(0, T)X_T]$	0.6042	0.6014	< 1.0	PASS
$\mathbb{E}[D(0, T)X_TB_T^{EUR}]$	1.1015	1.1000	< 0.3	PASS

TABLE XI

MARTINGALE DIAGNOSTIC RESULTS ($T = 10$ YEARS)

All z-scores below the 3.5σ threshold confirm correct drift implementation.

C. Monotonicity and Sensitivity

Model responses to parameter perturbations are validated for correct direction:

Parameter Change	Expected Impact	Observed	Status
↑ Swaption vol (+20%)	↑ Option value	+\$1.2M	✓
↓ Non-call (2Y→1Y)	↑ Option value	+\$1.8M	✓
↑ FX spot (+5%)	↑ EUR leg PV	+8.7%	✓
↑ Rates (+25bp)	↓ Swap value	−\$1.1M	✓

TABLE XII

SENSITIVITY VALIDATION RESULTS

V. CONVERGENCE ANALYSIS

Monte Carlo standard error converges as $O(N^{-1/2})$:

Paths	Callable NPV (\$M)	SE (\$K)	SE Ratio	Expected
10,000	8.31	222	—	—
30,000	8.33	128	1.73	1.73
100,000	8.32	70	1.83	1.83

TABLE XIII

MONTE CARLO CONVERGENCE VERIFICATION

Observed SE ratios match theoretical $\sqrt{N_2/N_1}$ scaling within 5%.

Call date	Alive	Exercise	Conditional / unconditional probability
2028-08-18 (Y2)	30,000	4,329	14.4% / 14.4%
2029-08-20 (Y3)	25,671	2,900	11.3% / 9.7%
2030-08-19 (Y4)	22,771	1,699	7.5% / 5.7%
2031-08-18 (Y5)	21,072	1,405	6.7% / 4.7%
⋮	⋮	⋮	⋮
2035-08-20 (Y9)	17,346	1,972	11.4% / 6.6%
No exercise	15,374	–	– / 51.2%

TABLE XIV
EXERCISE PROBABILITY DISTRIBUTION ACROSS CALL DATES

VI. EXERCISE DISTRIBUTION

The LSM algorithm produces the following exercise probability distribution:

Key Observations:

- Highest exercise probability at first call date (14.4%)
- Uptick at penultimate call (year 9) reflects “now or never” dynamics
- 51% of paths survive to maturity without early termination

VII. MODEL LIMITATIONS

- 1) **One-piece constant volatility:** Rate volatility is constant per currency; term-structure of vol is not fitted
- 2) **Deterministic basis:** Forecast/discount and cross-currency basis spreads are not stochastic
- 3) **ATM FX volatility:** FX smile/skew not calibrated; uses ATM lognormal vol
- 4) **LSM lower bound:** The Longstaff-Schwartz estimate is a biased lower bound for the true Bermudan value
- 5) **Simplified overnight:** EUR overnight uses continuous bank-account approximation

VIII. COLLABORATIVE AI DEVELOPMENT METHODOLOGY

This model was developed through a collaborative workflow involving human domain expertise, two AI agents, and an integrated technology ecosystem. The methodology is as significant as the model itself.

A. The Collaborative Ecosystem

Component	Role	Contribution
Human (Domain Expert)	Orchestration	Math specs, final validation
Codex (OpenAI)	Core Development	Specs, implementation, initial tests
Claude (Anthropic)	Review & Validation	Code review, validation framework
Mac	Local Development	VS Code, terminal, pytest
DigitalOcean	Production Hosting	Apache, Unicorn, SSL
QuantLib (C++)	Foundation Library	Curves, dates, calibration
Stack Overflow	Guidance Verification	Edge cases, patterns

TABLE XV
THE COLLABORATIVE DEVELOPMENT ECOSYSTEM

B. Division of Labor

Codex (OpenAI) — Core Development:

- Wrote formal specifications from human math guidance
- Built core Monte Carlo engine (1,400+ lines)
- Created initial test suite

Claude (Anthropic) — Review and Validation Framework:

- Reviewed all Codex implementations for correctness
- **Built the validation framework** (martingale tests, structural bounds, monotonicity, convergence)
- Extended with regression tests to catch future changes
- Generated documentation and this validation report

Human — Domain Expertise:

- Provided mathematical specifications and market conventions
- Verified results against Brigo & Mercurio and Stack Overflow
- Final judgment on all AI outputs

C. Why Codex + Claude Works

The combination of two AI agents catches errors neither would alone:

- Codex implements rigorously from specs
- Claude reviews and builds tests around the implementation
- Claude’s validation framework caught bugs in Codex’s code
- Human domain expert provides grounding neither AI has

D. Validation Framework Origin

Claude built the 20-test validation suite used in this report:

- Martingale tests derived from first principles
- Structural bounds based on no-arbitrage theory
- Convergence tests verify $O(N^{-1/2})$ scaling
- Monotonicity tests confirm correct Greeks directions

Key Insight: The validation framework itself provides confidence that the collaborative AI development produced correct code.

IX. CONCLUSIONS

The callable cross-currency swap pricer passes all validation tests:

- 1) **Arbitrage-free:** Martingale conditions satisfied within Monte Carlo error
- 2) **Correctly calibrated:** Hull-White and FX models calibrate to market within tolerance
- 3) **Sensible Greeks:** Monotonicity tests confirm correct directional responses
- 4) **Numerically stable:** Convergence follows expected $O(N^{-1/2})$ behavior
- 5) **Exercise realistic:** LSM produces economically sensible exercise boundary
- 6) **Development process:** Collaborative AI workflow (Codex + Claude) with human oversight

Recommendation: Model approved for indicative pricing.

Production use requires:

- Independent re-implementation comparison (dual upper bound)
- Extended regression testing across diverse market scenarios
- Operational risk controls for extreme parameter regimes